

19.03.2024

Dear

All eyes are on India's Summer crop planting for 2024 and we are eagerly awaiting this crop as well enable offer natural seed competitively once again, taking back some market share from our African fellow exporters not just for Korea but for other destinations as well.

Below please find some government and trade estimates to refresh memories of all connected with the trade. Starting with Gujarat Summer Crop, the sowing estimates are as follows with a comparison with 2023 for perspective:

Acreage until **18 March 2023: 78,000** hectares

Total Acreage for Summer 2023: 125,000 hectares

Production: 140,000 Mt

Acreage until **18 March 2024: 76,300** hectares – just marginally lower than the same period last year

Total Acreage for Summer 2024: will be known by next month

Production: Will be known by end of May / June

A yield of about 1200 kgs per hectare is quite normal in most cases however, this year there is talk of a shortage of water for irrigation. This leads to two different directions of the discussion. On one side, less water means farmers would ideally divert themselves from other crops to Sesame, leading to an overall larger crop. On the other side, since water is in short supply, whatever is planted will have low yields so even if acreages do go up, the end result will be the same crop number or even slight lesser than previous periods if planted areas stay the same. To my mind, this is a year where we have our General Election and making water available to farmers will be a top priority for the government as this is a very large vote bank for them.

Without going into detailed data, other parts of the country which also produce a small summer crop are showing slightly better sowing numbers compared to 2023 as of now.

The crop situation is dynamic and we could see changes either way during the course of the next 45 – 60 days. Our personal opinion is that we would still harvest about 100,000 tons on the lower side and 125,000 mt on the higher side as of today, irrespective of the water situation. The possible vagaries of weather is something we are not factoring into these numbers for now.

Having said this, basis local supply and imports that have taken place over the last few months, India continues to remain competitive for the hulled seed in the global markets. Gradual corrections in the

freight markets for shipments to EU, USA etc are also helping us regain some volumes after the sharp spike due to the Red Sea situation.

We are pleased to quote on FOB basis as follows :

Natural Whitish 99/1, 99.95 % Sortex Grade : USD. 1915.00 pmt

Natural Black 99/1, 99.95 %, Sortex Grade : USD. 2110.00 pmt

Natural Jet Black, 99.95 %, Sortex Grade : USD. 2220.00 pmt

Hulled Sesame, Min. 99.95 % Purity : USD. 2210.00 pmt

Hulled Sesame, Min. 99.97 % Purity : USD. 2230.00 pmt

Hulled Sesame, Premium, Min. 99.98% Purity : USD. 2250.00 pmt

For shipments to EU, Please add USD. 100.00 per ton on the Natural and Hulled Sesame Seeds to above prices.

We await your inquiries and thank you for your support during the last 12 months as our financial year comes to an end later this month.

Regards – Sanjiv Sawla

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